Singapore Company Update

UOB

Bloomberg: UOB SP | Reuters: UOBH.SI

Refer to important disclosures at the end of this report

DBS Group Research . Equity

8 Nov 2024

BUY

Last Traded Price (8 Nov 2024): SGD35.69 (STI : 3,724.37)
Price Target 12-mth: SGD37.90 (6% upside) (Prev SGD34.50)

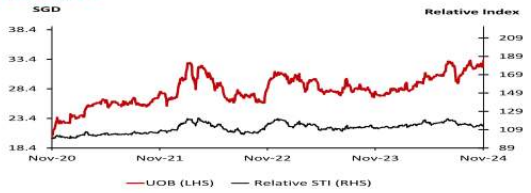
Analysts

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Singapore Research Team equityresearch3@dbs.com

What's New

- 3Q24 revenue and profit beat consensus by over 6%
- Non-interest income jumped 34% y/y, 28% q/q on record fee income and exceptional trading and liquidity performance
- Higher specific allowance due to Citi Thailand operational issues which is expected to normalise in next two quarters, as well as collateral revaluations
- Maintain BUY, higher TP of SGD37.90

Price Relative



Forecasts and Valuation

FY Dec (SGDmn)	2023A	2024F	2025F	2026F
Pre-prov. Profit	7,691	8,038	8,250	8,477
Net Profit	5,711	6,005	6,373	6,547
Net Pft (Pre Ex.)	6,061	6,005	6,373	6,547
Net Pft Gth (Pre-ex) (%)	25.8	(0.9)	6.1	2.7
EPS (S cts)	339	356	378	388
EPS Pre Ex. (S cts)	360	356	378	388
EPS Gth Pre Ex (%)	26	(1)	6	3
Diluted EPS (S cts)	339	356	378	388
PE Pre Ex. (X)	9.9	10.0	9.4	9.2
Net DPS (S cts)	170	182	193	198
Div Yield (%)	4.8	5.1	5.4	5.5
ROAE Pre Ex. (%)	12.7	12.6	12.6	12.1
ROAE (%)	12.7	12.6	12.6	12.1
ROA (%)	1.1	1.1	1.2	1.1
BV Per Share (S cts)	2,742	2,916	3,102	3,292
P/Book Value (x)	1.3	1.2	1.2	1.1
Earnings Rev (%):		0	3	3
Consensus EPS (S cts):		357	362	383
Other Broker Recs:		B: 8	S: 1	H: 7

Source of all data on this page: Company, DBS, Thomson Reuters, Bloomberg,

Look towards active capital management plans

Investment Thesis:

Growing an enlarged franchise. UOB's acquisition of Citigroup's consumer businesses in Indonesia, Malaysia, Thailand, and Vietnam allows it to accelerate, scale up, and deepen its ASEAN franchise, the effective execution of which remains key to long-term synergies, with management expressing confidence in higher structural return on equity (ROE) of >13% by FY26F. Integration continues to be on track, as UOB continues to leverage on an enlarged base of ~8.5mn customers.

Look forward to plans for capital management, better growth in 2025. Management is confident it can be more aggressive in capital management and is exploring tools like dividends, special dividends, and share buybacks, which will be communicated in the next quarter's briefing. Management guided for high-single-digit loan growth and double-digit fee income growth which will continue to drive FY25F earnings.

Keep watch on asset quality. We remain watchful of asset quality risks in the uncertain macroeconomic and high-interest rate environment, especially with regard to commercial real estate (CRE) exposures. UOB's average loan-to-value (LTV) for office CRE continues to be ~50%, providing a buffer in the event underlying collateral valuations collapse. During 3Q24, c.20% of specific allowances taken relate to collateral revaluations.

Maintain BUY, higher TP of SGD37.90. Our TP is based on the Gordon Growth Model (14% ROE (previous: 13%), 3% growth, and 12% cost of equity), representing ~1.3x FY25F, below +1SD above UOB's average 15-year historical forward P/BV multiple. We believe higher ROE trajectory alongside active capital management plans to return capital to shareholder are positives for the stock. Share price remains well supported by its strong provisions buffer of 99% and forward dividend yield of ~5.4%, with potential upside for higher dividends. We revise our earnings by 3% through FY25-26F on higher loan growth and fee income growth expectations.

Key Risks

Deteriorating asset quality. Higher-than-expected non-performing loans (NPLs), high inflationary pressure, and recessionary risks could unwind expectations of credit cost and NPL declines, thus posing risks to earnings. A credit cycle will typically cause banks' share prices to derate.

Fed cuts. Faster-than-expected Fed cuts also pose downside risks to our earnings estimates.

At A Glance

Issued Capital (mn shrs)	1,673
Mkt. Cap (SGDmn/USDmn)	59,721 / 45,062
Major Shareholders (%)	
Wee Investments Pte	7.9
Wah Hin & Co Pte Ltd	5.1
Free Float (%)	87.0
3m Avg. Daily Val (USDmn)	57.1

GIC Industry : Financial / Banks

DBS Insights Direct

Watchlist the stock on Insights Direct to receive prompt updates

ed: BM/ sa: AS, PY, CS

WHAT'S NEW

3Q24 results beat consensus; guidance on capital management plans ahead

3Q24 revenue and profit beat consensus by over 6%. 3Q24 revenue came in at SGD3,834mn (+11% y/y, +10% q/q) and net profit is SGD1,610mn (+16% y/y, +13% q/q). Core net profit after tax, excluding Citi integration costs (net of tax) of SGD28mn, would be SGD1,639mn (+11% y/y, +10% q/q). Net interest income (NII) rose 1% y/y and 2% q/q to SGD2,460mn, driven by +2% q/q loan growth and stable q/q NIM. Operating costs surged 12% y/y and 10% q/q, resulting in a cost-to-income (C/I) ratio excluding/including one-off Citi integration costs of 41.5%/42.4% (2Q24: 41.8%/44.1%), respectively. CET1 ratio improved to 15.5% (2Q24: 13.4%).

Non-interest income jumped 34% y/y and 28% q/q. Record net fee income of SGD630mn (+7% y/y, +2% q/q) was driven by a strong pick-up in loan and wealth fees. Other non-interest income of SGD744mn (+70% y/y, +63% q/q) was driven by record customer-related treasury on the back of strong hedging demand and exceptional trading and liquidity performance of SGD439mn (+131% y/y, +140% q/q).

Higher credit cost of 34bps; NPL stable at 1.5%. 3Q24 credit cost ticked up q/q to 34bps (2Q24: 24bps) as specific credit costs inched up. General allowance performing loans coverage maintained at 0.9% q/q. Total loan allowances of SGD281mn, 36bps (2Q24: SGD194mn, 24bps), including general allowances (stage 1+2) of -SGD15mn, -2bps (2Q24: SGD25mn, 3bps), and specific allowances (stage 3) of SGD 296mn, 36bps (2Q24: SGD169mn, 21bps) were mainly due to Thailand operational merger issues, which will normalise in the next two quarters. New NPA formation was lower at SGD212mn (2Q24: SGD438mn, average of SGD336mn for the last four quarters). NPL remained stable q/q at 1.5%.

Management has outlined a strong outlook for 2025 and formally discussed capital management initiatives for the first time. Management guided for high-single-digit loan growth, double-digit fee growth and higher total deposit income. The cost-to-income ratio is expected to be between 41% to 42%. Meanwhile, credit costs are anticipated to be within 25-30bps. Management has highlighted that their strong capital position will allow them to explore strategic capital management initiatives.

Takeaways from management briefings

Capital and dividends. Management is confident that they can be more aggressive in capital management and is exploring tools like dividends, special dividends, and share buyback. UOB highlights that a comfortable CET1 operating range is between 13.5% to 14% where a 1% reduction in CET1 ratio implies a SGD2.5bn programme range. Management is working out the details of the programme and aims to strike a balance between absolute dividends, special dividends, and share buybacks. Meanwhile, its transitional CET1 ratio is tracking close to a fully loaded CET1 ratio, unlike peers, for two reasons: 1) UOB currently runs more standardised models outside of Singapore and 2) UOB has been careful and conservative in its existing models.

Net interest income. UOB has added duration through loans and bonds. While most of its short-term liquidity is held in SGS, management is looking at differentials against USTs with the possibility to lengthen duration there. Competitive pricing of loans was offset by steady growth in CASA and trade loans during 3Q24. Management believes that the improvement in CASA is not transitory but is due to the franchise that UOB has built across both retail and wholesale accounts as a result of the following efforts: 1) continued cross-selling into CASA on an enlarged customer base; 2) new customer acquisitions, building pipeline from salary crediting accounts, etc.; and 3) recapturing fixed deposit maturities into CASA. **NIM sensitivity:** Management expects NIM to be impacted by 1.6bps for every 25bps rate cut which will affect total income by SGD70-80mn (previous: 2-3bps for every 25bps rate cut).

Non-interest income. Wealth fees saw strong customer and unit trust sales. UOB saw SGD4bn net new money during 3Q24; currently ~37% of AUM is in investment products and management hopes to bring it to 40%. SEA outperformed North Asia for wealth during 3Q24 and mass affluent customers segment outperformed the private bank segment. 4Q24 momentum for fees continues to be on track.

Details on asset quality. Citi Thailand integration issues persist from 2Q24 to 3Q24 as confusion and unfamiliarity after the crossover led to customer defaults. The situation is compounded by regulatory changes where the minimum due increased from 5% to 8%. New NPAs during 3Q24 arose mainly from Thailand and accounted for 50% of the specific allowances, while another 20% of specific allowances is attributed to collateral revaluations (e.g., in HK CRE), which UOB may continue to write in 4Q24. Management is looking for more clarity in the macro outlook before coming to a decision on reversing its general allowances buffer, but remains confident in new NPA formation going forward, and that FY24F credit costs will remain within the guidance range of 25-30bps.

Loan growth. Areas of loan growth include ASEAN (China +1), sustainable financing, digital economy, mortgages, green economy, e.g., renewables, and Johor data centres (already captured 17 new direct investments to JB SEZ).

Impact of global minimum tax. Management expects tax rate to be higher at 1+ percentage point. As countries outside of Singapore hava a >15% tax rate, Singapore and Hong Kong are most affected, especially Singapore.

Company Background

UOB provides a wide range of financial services through its global network of branches, offices, subsidiaries, and associates: Personal financial services, private banking, commercial and corporate banking, investment banking, corporate finance, capital market activities, treasury services, futures broking, asset management, venture capital management, insurance, and stockbroking services.

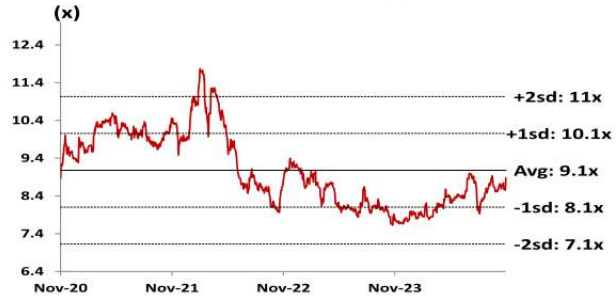
Quarterly / Interim Income Statement (SGDmn)

FY Dec	3Q2023	2Q2024	3Q2024	% chg y/y	% chg q/q
Net Interest Income	2,429	2,401	2,460	1.3	2.5
Non-Interest Income	1,027	1,075	1,374	33.8	27.8
Operating Income	**3,456**	**3,476**	**3,834**	**10.9**	**10.3**
Operating Expenses	(1,423)	(1,459)	(1,597)	12.2	9.5
Pre-Provision Profit	**2,033**	**2,017**	**2,237**	**10.0**	**10.9**
Provisions	(235)	(232)	(304)	29.4	31.0
Associates	20.0	31.0	25.0	25.0	(19.4)
Exceptionals	(97.0)	(64.0)	(28.0)	71.1	(56.3)
Pretax Profit	**1,721**	**1,752**	**1,930**	**12.1**	**10.2**
Taxation	(339)	(327)	(320)	(5.6)	(2.1)
Minority Interests	0.0	0.0	0.0	-	-
Net Profit	**1,382**	**1,425**	**1,610**	**16.5**	**13.0**
Growth (%)					
Net Interest Income Gth	(0.3)	1.7	2.5		
Net Profit Gth	(2.3)	(4.2)	13.0		
Key ratio (%)					
NIM	2.1	2.1	2.1		
NPL ratio	1.6	1.5	1.5		
Loan-to deposit	79.7	81.1	81.6		
Cost-to-income	41.2	42.0	41.7		
Total CAR	16.6	15.9	18.4		

Source of all data: Company, DBS

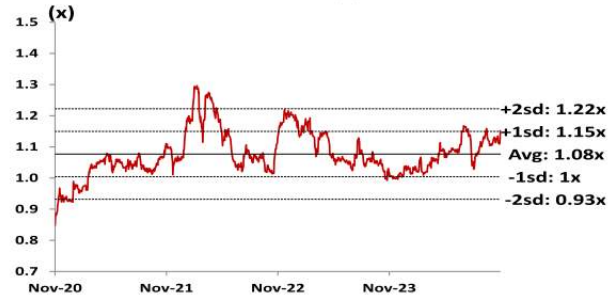
Historical PE and PB band

Forward PE Band (x)



Source: Bloomberg, DBS estimates

PB band (x)



Source: Bloomberg, DBS estimates

Key Assumptions

FY Dec	2022A	2023A	2024F	2025F	2026F
Gross Loans Growth	2.9	0.5	2.7	7.0	5.0
Customer Deposits Growth	4.5	4.6	5.0	5.0	5.0
Yld. On Earnings Assets	2.9	4.8	4.3	3.8	3.6
Avg Cost Of Funds	1.1	2.9	2.3	1.9	1.9

Income Statement (SGDmn)

FY Dec	2022A	2023A	2024F	2025F	2026F
Net Interest Income	8,343	9,679	9,814	9,732	9,894
Non-Interest Income	3,232	4,253	4,335	4,568	4,753
Operating Income	**11,575**	**13,932**	**14,148**	**14,300**	**14,647**
Operating Expenses	(5,284)	(6,241)	(6,110)	(6,049)	(6,170)
Pre-provision Profit	**6,291**	**7,691**	**8,038**	**8,250**	**8,477**
Provisions	(603)	(921)	(870)	(637)	(653)
Associates	97.0	93.0	93.0	93.0	93.0
Exceptionals	0.0	0.0	0.0	0.0	0.0
Pre-tax Profit	**5,785**	**6,863**	**7,261**	**7,706**	**7,917**
Taxation	(1,202)	(1,138)	(1,234)	(1,310)	(1,346)
Minority Interests	(10.0)	(14.0)	(21.8)	(23.1)	(23.8)
Preference Dividend	0.0	0.0	0.0	0.0	0.0
Net Profit	**4,573**	**5,711**	**6,005**	**6,373**	**6,547**
Net Profit bef Except	4,573	5,711	6,005	6,373	6,547
Growth (%)					
Net Interest Income Gth	30.6	16.0	1.4	(0.8)	1.7
Net Profit Gth	12.2	24.9	5.1	6.1	2.7
Margins, Costs & Efficiency (%)					
Spread	1.8	1.9	1.9	1.8	1.7
Net Interest Margin	1.9	2.1	2.0	1.9	1.9
Cost-to-Income Ratio	45.7	44.8	43.2	42.3	42.1
Business Mix (%)					
Net Int. Inc / Opg Inc.	72.1	69.5	69.4	68.1	67.5
Non-Int. Inc / Opg inc.	27.9	30.5	30.6	31.9	32.5
Fee Inc / Opg Income	18.5	16.0	17.6	19.7	21.2
Oth Non-Int Inc/Opg Inc	9.4	14.5	13.1	12.3	11.3
Profitability (%)					
ROAE Pre Ex.	10.6	12.7	12.6	12.6	12.1
ROAE	10.6	12.7	12.6	12.6	12.1
ROA Pre Ex.	1.0	1.1	1.1	1.2	1.1
ROA	1.0	1.1	1.1	1.2	1.1

Source: Company, DBS

Quarterly / Interim Income Statement (SGDmn)

FY Dec	3Q2023	4Q2023	1Q2024	2Q2024	3Q2024
Net Interest Income	2,429	2,404	2,362	2,401	2,460
Non-Interest Income	1,027	1,007	1,161	1,075	1,374
Operating Income	**3,456**	**3,411**	**3,523**	**3,476**	**3,834**
Operating Expenses	(1,423)	(1,480)	(1,482)	(1,459)	(1,597)
Pre-Provision Profit	**2,033**	**1,931**	**2,041**	**2,017**	**2,237**
Provisions	(235)	(152)	(163)	(232)	(304)
Associates	20.0	22.0	26.0	31.0	25.0
Exceptionals	(97.0)	(94.0)	(79.0)	(64.0)	(28.0)
Pretax Profit	**1,721**	**1,707**	**1,825**	**1,752**	**1,930**
Taxation	(339)	(304)	(338)	(327)	(320)
Minority Interests	0.0	0.0	0.0	0.0	0.0
Net Profit	**1,382**	**1,403**	**1,487**	**1,425**	**1,610**
Growth (%)					
Net Interest Income Gth	(0.3)	(1.0)	(1.7)	1.7	2.5
Net Profit Gth	(2.3)	1.5	6.0	(4.2)	13.0

Balance Sheet (SGDmn)

FY Dec	2022A	2023A	2024F	2025F	2026F
Cash/Bank Balance	49,419	52,350	54,968	57,716	60,602
Government Securities	31,878	38,280	38,856	39,441	40,035
Inter Bank Assets	35,410	35,093	35,957	38,443	40,324
Total Net Loans & Advs.	315,355	317,005	324,810	347,263	364,259
Investment	39,789	50,793	53,528	59,007	64,500
Associates	1,258	1,266	1,359	1,452	1,545
Fixed Assets	3,453	3,782	1,667	1,667	1,667
Goodwill	4,900	4,984	4,142	4,142	4,142
Other Assets	22,798	19,967	20,459	21,873	22,943
Total Assets	**504,260**	**523,520**	**535,746**	**571,004**	**600,017**
Customer Deposits	368,553	385,469	404,742	424,980	446,229
Inter Bank Deposits	24,537	32,371	20,582	30,821	34,136
Debts/Borrowings	40,593	36,280	36,280	36,280	36,280
Others	26,971	22,932	24,709	26,345	27,562
Minorities	240	242	264	287	311
Shareholders' Funds	43,366	46,226	49,168	52,291	55,499
Total Liab& S/H's Funds	**504,260**	**523,520**	**535,746**	**571,004**	**600,017**

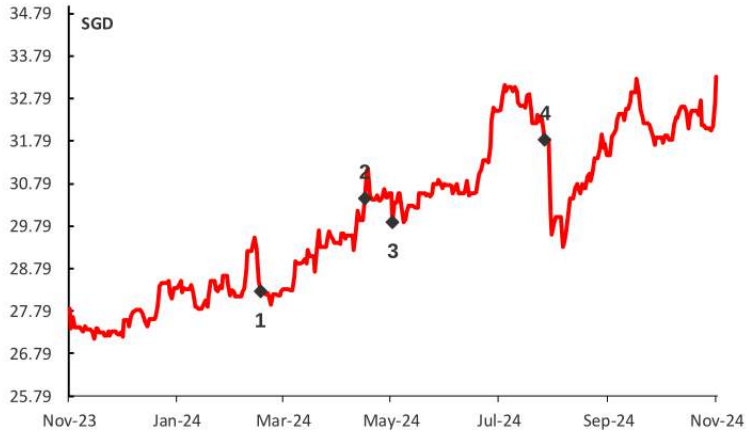
Source: Company, DBS

Financial Stability Measures (%)

FY Dec	2022A	2023A	2024F	2025F	2026F
Balance Sheet Structure					
Loan-to-Deposit Ratio	85.6	82.2	80.3	81.7	81.6
Net Loans / Total Assets	62.5	60.6	60.6	60.8	60.7
Investment / Total Assets	7.9	9.7	10.0	10.3	10.7
Cust . Dep./Int. Bear. Liab.	85.0	84.9	87.7	86.4	86.4
Interbank Dep / Int. Bear.	5.7	7.1	4.5	6.3	6.6
Asset Quality					
NPL / Total Gross Loans	1.6	1.5	1.5	1.5	1.5
NPL / Total Assets	1.0	0.9	0.9	0.9	0.9
Loan Loss Reserve Coverage	85.1	85.1	100.2	105.5	112.0
Provision Charge-Off Rate	0.2	0.3	0.3	0.2	0.2
Capital Strength					
Total CAR	16.7	16.6	16.7	16.7	16.9
Tier-1 CAR	13.3	13.4	13.8	13.9	14.2

Source: Company, DBS

Target Price & Ratings 12-mth History



S.No.	Date of Report	Closing Price	12-mth Target Price	Rating
1:	23 Feb 24	28.25	30.30	HOLD
2:	22 Apr 24	30.45	34.50	BUY
3:	08 May 24	29.88	34.50	BUY
4:	02 Aug 24	31.83	34.50	BUY

***Note** : Share price and Target price are adjusted for corporate actions.*

Source: DBS

Analysts: Rui Wen LIM

Singapore Research Team

DBS Group Research recommendations are based on an Absolute Total Return* Rating system, defined as follows:
STRONG BUY (>20% total return over the next 3 months, with identifiable share price catalysts within this time frame)
BUY (>15% total return over the next 12 months for small caps, >10% for large caps)
HOLD (-10% to +15% total return over the next 12 months for small caps, -10% to +10% for large caps)
FULLY VALUED (negative total return, i.e., > -10% over the next 12 months)
SELL (negative total return of > -20% over the next 3 months, with identifiable share price catalysts within this time frame)

**Share price appreciation + dividends*

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Sources for all charts and tables are DBS unless otherwise specified.

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